

The Coca-Cola Company

Conference Takeaways

During our fireside with EVP & COO Henrique Braun, we dug into a variety of topics spanning geographic and brand performance, key capability considerations and System-level dynamics at large.

Presenters: Henrique Braun (EVP & COO)

What's Incremental

- **The KO System at large is heavily focused on volumes, but KO acknowledged some softness from 2Q has persisted in a few markets.** KO and its bottlers are aligned in the ambition for *quality* volume - that is, driving volumes alongside price/mix (i.e. not having one OSG come at the expense of the other). Given the big focus area this represents for the System, as well as intense investor focus on Staples volume trends more broadly, perhaps the most incremental takeaway from today's fireside was the recognition that volume trends have remained soft in some markets (namely Mexico, India, Vietnam and Thailand).

The pressure is largely tied to a mix of macro factors (e.g. weather, geopolitical, economic), and KO is working its bottling partners to pivot as appropriate without risking longer-term value creation. When we followed up on India in particular and the competitive threat posed by local players, it was clear to us KO still feels good about (and remains focused on) the long-term growth opportunity in this market. Said differently, the company seems unlikely to tactically respond to any closer-in competitive pressure in a way that would hinder long-term value creation in the market. Importantly, KO downplayed the notion of too much pricing having weighed on broad volumes given market share trends and the weekly+/intender base are both still tracking well.

- **We're intrigued by the ways in which digital investments are transforming the company's (and System's) capability set.** Recall KO was an early mover on integrating AI into its marketing (first project was ~2.5 years ago), and a subsequent use of the technology on last year's Christmas campaign helped to drastically cut down on the production timeline. But it was interesting to hear other tangible examples of the ways in which digital ads enable KO to engage with consumers in an increasingly precise, personal way - such as connecting with US consumers on the sports passion point over the summer but catering the message based on whether they're a soccer or football fan. At the same time, bottlers are in the process of digitizing their sales platforms, which is yielding increasingly sharp and relevant consumer insights for the System at large to employ. And of note, bottlers will be sharing their digital best practices at a meeting in Atlanta next week, highlighting the collaborative nature within the System which we'd think could help accelerate the realization of digital-led benefits to come.

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KO	OVERWEIGHT Unchanged
U.S. CHPC & Beverages	NEUTRAL Unchanged
Price Target	USD 78.00 Unchanged
Price (02-Sep-25)	USD 69.06
Potential Upside/Downside	+12.9%
Source: Bloomberg, Barclays Research	

Market Cap (USD mn)	297211
Shares Outstanding (mn)	4303.67
Free Float (%)	81.53
52 Wk Avg Daily Volume (mn)	16.4
Dividend Yield (%)	2.96
Return on Equity TTM (%)	44.76
Current BVPS (USD)	6.64
Source: Bloomberg	

Price Performance	Exchange-NYSE
52 Week range	USD 74.38-60.62



Source: IDC
[Link to Barclays Live for interactive charting](#)

U.S. CHPC & Beverages

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- **The shared growth ambition across the System struck us as strong as ever in today's conversation.** The strong alignment between KO and its bottlers remains readily apparent and a cornerstone of the company's competitive advantage as we see it. Mr. Braun credited bottlers with "raising the bar on execution every day" and spoke constructively as to collaborative effort to invest ahead of the curve across the System. Mr. Braun also flagged the merits of a global portfolio with local intimacy several times over our conversation, and indeed we think this unique blend has helped KO 1) navigate a variety of unforeseen challenges across its footprint and 2) engage with consumers in an increasingly effective way.

What to do with the stock

The company's largely consistent strategy and tone over this year has reinforced to us the attractive and defensive positioning enjoyed by the KO System. KO continues to convey a sense of having things generally under control and the flexibility to navigate as needed when an unforeseen challenge arises in a given market, which underpins what remains a well-liked story within our space - and we reiterate our Overweight rating given we think KO's OSG profile, consistent long-term strategy and tactical agility screen highly attractive.

Changes to model. We also update our KO model to tweak the 3Q mix of volumes vs. price/mix within our unchanged +6.2% OSG forecast. We have a larger skew towards price/mix now embedded (+4.3% vs. +3.9% previously), while we now look for concentrate shipments of +1.9% (from +2.4%). We temper our concentrate forecast to better reflect the anticipated catch-up between concentrate and UCV volumes during the quarter. All other metrics and our price target methodology are unchanged.

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KO: Quarterly and Annual EPS (USD)

	2024	2025			2026			Change y/y	
FY Dec	Actual	Old	New	Cons	Old	New	Cons	2025	2026
Q1	0.72A	0.73A	0.73A	0.73A	0.80E	0.80E	0.78E	1%	10%
Q2	0.84A	0.87A	0.87A	0.87A	0.94E	0.94E	0.92E	4%	8%
Q3	0.77A	0.79E	0.79E	0.78E	0.86E	0.86E	0.85E	3%	9%
Q4	0.55A	0.58E	0.58E	0.60E	0.63E	0.63E	0.64E	5%	9%
Year	2.88A	2.97E	2.97E	2.98E	3.23E	3.23E	3.18E	3%	9%
P/E	23.9		23.3			21.4			

Consensus numbers are from Bloomberg received on 03-Sep-2025; 12:50 GMT
Source: Barclays Research

U.S. CHPC & Beverages

NEUTRAL

The Coca-Cola Company (KO)

OVERWEIGHT

Income statement (US\$m)	2024A	2025E	2026E	2027E	CAGR
Revenue	46,897	48,531	51,401	54,346	5.0%
EBITDA (adj)	15,160	16,258	17,519	18,791	7.4%
EBIT (adj)	14,085	15,094	16,285	17,487	7.5%
Pre-tax income (adj)	15,333	16,194	17,448	18,770	7.0%
Net income (adj)	12,463	12,808	13,941	14,998	6.4%
EPS (adj) (US\$)	2.88	2.97	3.23	3.48	6.4%
Diluted shares (mn)	4,320.3	4,314.5	4,315.0	4,315.0	0.0%
DPS (US\$)	1.94	2.04	2.12	2.21	4.4%
Margin and return data	2024A	2025E	2026E	2027E	Average
Gross margin (%)	61.1	61.5	61.9	62.2	61.7
EBITDA (adj) margin (%)	32.3	33.5	34.1	34.6	33.6
EBIT (adj) margin (%)	30.0	31.1	31.7	32.2	31.2
Pre-tax (adj) margin (%)	32.7	33.4	33.9	34.5	33.6
Net (adj) margin (%)	26.6	26.4	27.1	27.6	26.9
ROIC (%)	25.6	24.9	25.6	26.3	25.6
ROA (%)	11.4	11.7	12.0	12.2	11.8
ROE (%)	47.3	52.0	46.6	42.2	47.0
Balance sheet and cash flow (US\$m)	2024A	2025E	2026E	2027E	CAGR
Cash and equivalents	10,828	8,463	10,743	13,914	8.7%
Total assets	100,549	102,579	108,646	114,870	4.5%
Short and long-term debt	44,522	47,212	47,212	47,212	2.0%
Total liabilities	74,177	77,934	78,760	79,323	2.3%
Net debt/(funds)	29,951	35,006	32,726	29,555	-0.4%
Shareholders' equity	26,372	24,645	29,886	35,547	10.5%
Change in working capital	-6,234	-7,525	-372	-96	N/A
Cash flow from operations	6,805	5,653	13,662	15,074	30.4%
Capital expenditure	-2,064	-2,232	-2,210	-2,337	N/A
Free cash flow	4,741	3,421	11,452	12,737	39.0%
Valuation and leverage metrics	2024A	2025E	2026E	2027E	Average
Total debt/capital (%)	62.8	65.7	61.2	57.0	61.7
Net debt/EBITDA (adj) (x)	2.0	2.2	1.9	1.6	1.9
P/E (adj) (x)	23.9	23.3	21.4	19.9	22.1
EV/sales (x)	6.6	6.5	6.1	5.7	6.2
EV/EBITDA (adj) (x)	20.4	19.4	17.8	16.5	18.5
EV/EBIT (adj) (x)	22.0	20.9	19.2	17.7	19.9
Equity FCF yield (%)	1.6	1.1	3.8	4.3	2.7
P/BV (x)	11.3	12.1	10.0	8.4	10.4
Dividend yield (%)	2.8	3.0	3.1	3.2	3.0
Selected operating metrics	2024A	2025E	2026E	2027E	Average
Organic sales growth (%)	12.0	5.4	5.7	5.7	7.2
Volume growth (%)	2.0	0.8	3.0	3.4	2.3
Price growth (%)	11.0	4.6	2.7	2.3	5.2

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (02-Sep-2025) **USD 69.06**
 Price Target **USD 78.00**

Why OVERWEIGHT?

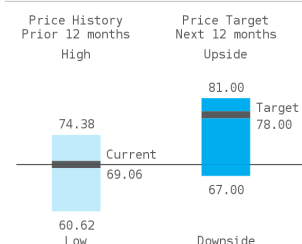
We expect KO's comprehensive transformation to re-accelerate the top and bottom line. As the company demonstrates an ability to sustainably deliver its algorithm, we expect more valuation credit to be given.

Upside case USD 81.00

Our upside case assumes that KO trades at a +LDD% premium to the more defensive, multi-national peers on upside 2026 EPS of \$3.27.

Downside case USD 67.00

Our downside case assumes that KO trades at a -MSD% discount to the more defensive, multi-national peers on downside 2026 EPS of \$3.15.

Upside/Downside scenarios

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The Coca-Cola Company (KO, 02-Sep-2025, USD 69.06), Overweight/Neutral, CD/CE/D/E/J/K/L/M/N

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U.S. CHPC & Beverages

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Constellation Brands (STZ)	Coty Inc. (COTY)	Edgewell Personal Care Company (EPC)
Energizer Holdings, Inc (ENR)	International Flavors & Fragrances (IFF)	Kenvue Inc. (KVUE)
Keurig Dr Pepper (KDP)	Kimberly-Clark Corp. (KMB)	Molson Coors Beverage Company (TAP)

Newell Brands Inc. (NWL)	ODDITY Tech Ltd. (ODD)	Olaplex Holdings, Inc. (OLPX)
PepsiCo Inc. (PEP)	Primo Brands Corporation (PRMB)	Procter & Gamble (PG)
Reynolds Consumer Products (REYN)	The Coca-Cola Company (KO)	The Estée Lauder Companies (EL)

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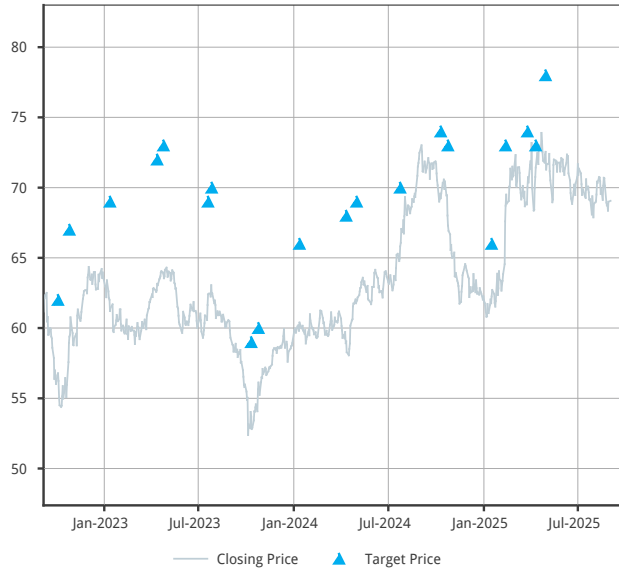
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 69.06** (02-Sep-2025)

Rating and Price Target Chart - USD (as of 02-Sep-2025)

Currency=USD



Source: IDC, Barclays Research

[Link to Barclays Live for interactive charting](#)

Publication Date	Closing Price*	Rating	Adjusted Price Target
30-Apr-2025	72.35		78.00
11-Apr-2025	70.76		73.00
26-Mar-2025	68.95		74.00
12-Feb-2025	67.60		73.00
16-Jan-2025	61.77		66.00
24-Oct-2024	68.01		73.00
10-Oct-2024	69.57		74.00
24-Jul-2024	64.96		70.00
01-May-2024	61.77		69.00
11-Apr-2024	59.72		68.00
12-Jan-2024	59.81		66.00
25-Oct-2023	55.64		60.00
11-Oct-2023	54.03		59.00
27-Jul-2023	63.05		70.00
20-Jul-2023	61.64		69.00
25-Apr-2023	63.95		73.00
13-Apr-2023	62.69		72.00
12-Jan-2023	61.21		69.00
26-Oct-2022	58.95		67.00
04-Oct-2022	56.78		62.00

On 03-Sep-2022, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 70.00.

Source: Bloomberg, Barclays Research

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Valuation Methodology: Our price target of \$78 is based on a ~24.0x P/E reflecting a +HSD% premium to the more defensive, multinational peers on our CY26 EPS estimate of \$3.23.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: 1) FX headwinds force downward revision of estimates, 2) Slowdown in CSD category growth, 3) More sugar taxes cloud the dialogue, 4) Deterioration in North American pricing environment would hurt results.

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